



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

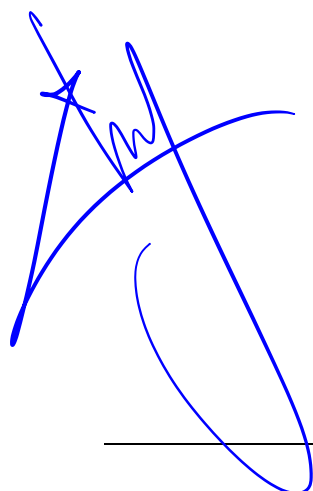
- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Done



This document has **16** pages. Any blank pages are indicated.

(Price mechanism)
(Demand = Supply)

- 1 An economy is changing from a planned economy to a market economy.

Which action would be expected during this change?

- A the replacement of fiscal policy by monetary policy *Government intervention*
 B the replacement of multinational companies by national companies *These are controlled by government*
 C the replacement of nationalisation by privatisation *(control with private sector)*
 D the replacement of private property rights by common ownership *control by government*
- Should be other way round*

- 2 A local council provides a tap for drinking water in a town.

Would this make drinking water a free good? *No, free good* *unlimited in supply* *No opportunity cost*

- A No, because it is possible to exclude some people from using the tap. *It is non-excludable, anyone can use it*
 B No, because it requires the use of scarce resources.
 C Yes, because it is available to all passers-by. *Can't be yes!*
 D Yes, because it is impossible to charge for it.

- 3 Food prices in a country increased by 20% in three months due to an infectious virus.

Which statement about the cause of this rise in food prices is normative? *opinion / value judgement*

- A Consumers were scared of running out of food. *value judgement*
 B Farm workers demanded higher wages to cover extra hours worked. *Fact (extra hours, more wages)*
 C Supply of foreign food was reduced because of closed borders. *Fact (closed borders, no supply)*
 D Transport costs increased by 10%. *Fact, can be proved.*

- 4 A doctor has very long working hours and a high level of stress. She can become a teacher instead of continuing as a doctor.

What is the opportunity cost of choosing to continue as a doctor? *vs Teaching job*

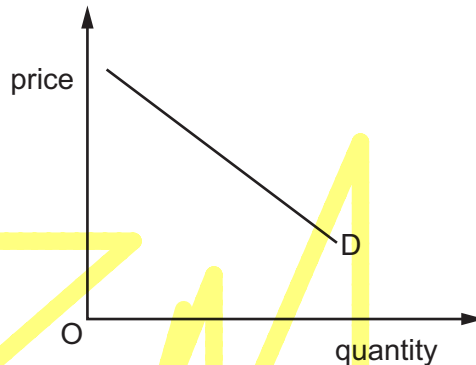
- A the risk of mistakes caused by tiredness
 B the possible costs of illness caused by high stress levels
 C the potential salary as a teacher *(Next best alternative forgone)*
 D the retraining costs of becoming a teacher

This is the cost of becoming a teacher

5 When will the demand curve for motorcycles shift to the left?

- ☒ A when the price of cars falls *concept of substitutes (the relationship between price of one good and demand of other good).*
- ☐ B when the price of motorcycles falls *(movement) (Qd ↑)*
- ☐ C when the tax on motorcycles rises *Supply ↓, P ↑, Qd ↓*
- ☐ D when the price of public transport rises *, switch to motorcycles, Demand ↑*

6 The diagram shows the demand curve for housing.



What is not assumed to remain constant when drawing this curve?

- ☐ A consumer incomes
- ☐ B expectations about future house prices
- ☒ C the price of houses *(movement)*
- ☐ D the rate of interest charged on loans for house purchase

7 Which statement defines the price elasticity of supply?

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in Price}}$$

- ☐ A It is a measure of how the price of a good responds to a change in the quantity supplied.
- ☒ B It is a measure of how the quantity supplied of a good responds to a change in its price.
- ☐ C It is a measure of how the supply of a good responds to a change in its cost of production.
- ☐ D It is a measure of how the supply of good X responds to a change in the price of good Y. *(2 goods)*

8 Which products are likely to have a positive cross-elasticity of demand with tea? *correct, price changes affects Qs, so Qs will respond when price changes*

☐ A biscuits and cakes

☒ B coffee and hot chocolate : *Substitutes (Puffee and Hot chocolate)*

☐ C cups and saucers

☐ D sugar and milk

A, C, D: complements

↑ P, Qd ↓, Substitutes

*↓
↑*

*↓
↑*

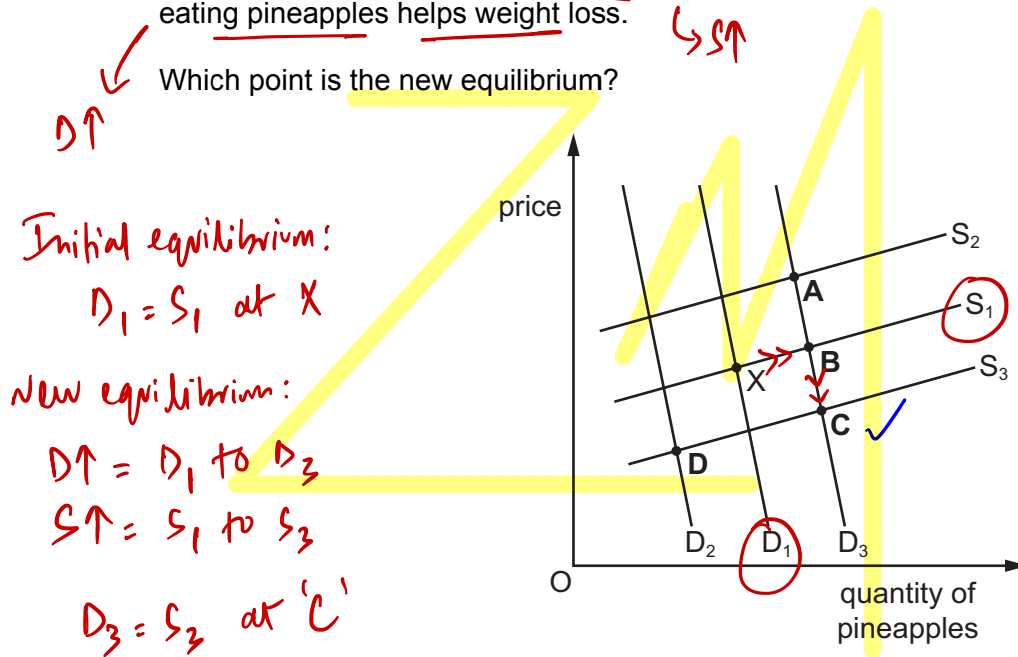
Price

9 What does not cause a shift in the supply curve of cars?

- A a change in the car producers' costs of production *Shift*
 B a change in the price of fuel used by car owners *Price factor, movement*
 C a change in the rate of sales tax on cars *Indirect tax, shift*
 D a change in the wage rate of workers in the car industry *cost related, Shift*

10 The diagram shows the market for pineapples. X is the original equilibrium point. Pineapple producers benefit from improved technology. At the same time, a new diet book suggests that eating pineapples helps weight loss.

Which point is the new equilibrium?



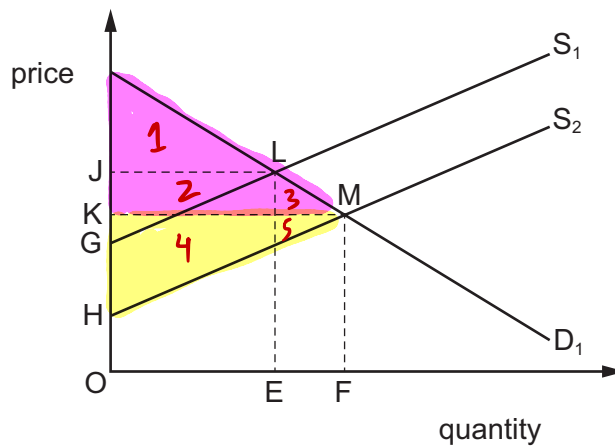
- 11 The diagram shows the impact of a fall in the price of oil that will lead to a fall in energy costs for many manufacturers.

old C.S: Area 1
New C.S: Area 1+2+3

C.S ↑

old P.S = Area 2
New P.S = Area 4+5

P.S ↑



What will be the impact of this change on consumer and producer surplus?

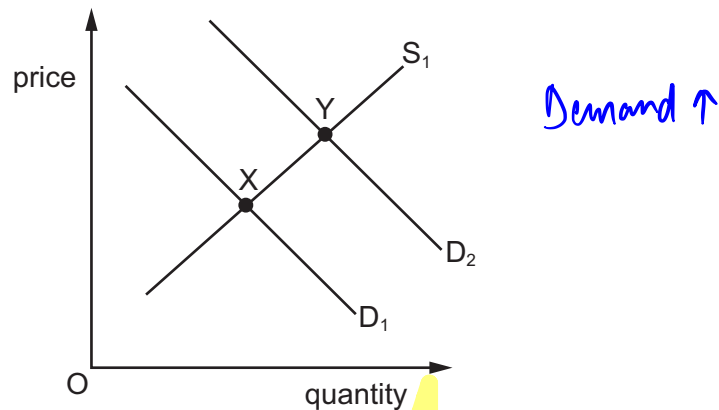
	consumer surplus	producer surplus
A	falls	falls
B	falls	rises ✓
C	rises ✓	falls
D	rises ✓	rises ✓

- 12 When is the supply curve for a car manufacturing firm most likely to be price elastic?

- A when the firm finds it difficult to recruit new labour *Less resources, can't respond quickly, < 1*
 B when the firm has a large quantity of stock
 C when the firm is operating in the short run *same reason as option A*
 D when the firm is operating near to full capacity *can't extend quantity supplied*

*availability of stock
 quickly able to respond to changes in demand
 Elastic supply*

13 The diagram shows the market for electric steel-plated switches used in new houses.



What could not have caused the market equilibrium position to have changed from X to Y?

- A increasing the availability of loans for buying houses *Income factor, afford ↑, demand ↑*
- B granting a subsidy for producers of bricks, *cheaper manufacturing cost, D ↑ (Electric switches)*
- ☒ C removing sales tax on electric switches *Tax ↓, cost ↓, Supply ↑*
- D removing tariffs on imports of wood *wood cost ↓, cheaper manufacturing cost, D ↑ (Electric switches)*

14 In mixed economies, what explains why the provision of certain goods and services will remain under government control?

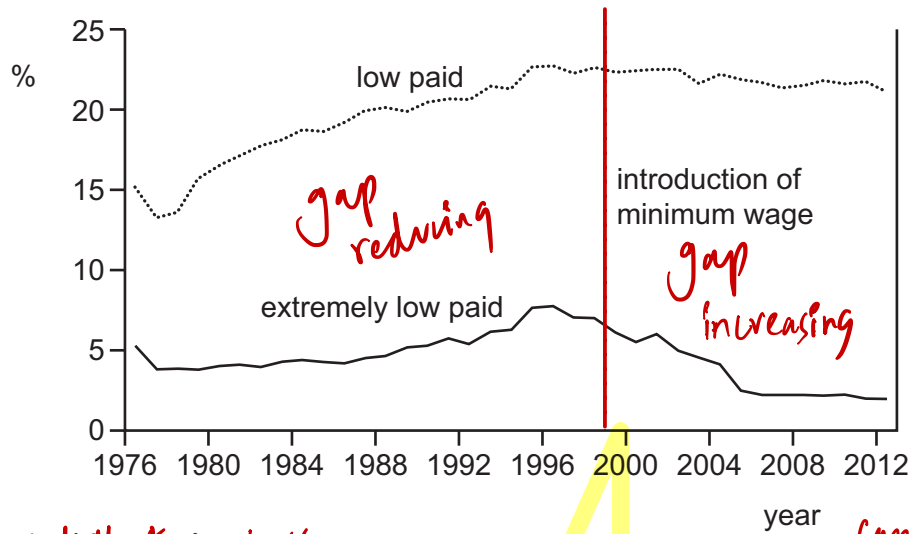
- ☒ A The market system fails to provide public goods. *non-rival, non-excludable, free rider problem*
- B Management ideas are hampered by excessive bureaucracy.
- C Ownership of companies depends on the ease of buying shares.
- D The profit motive tends to improve efficiency in organisations.

unrelated to government provision of goods and services

↳ Advantage of private sector

↳ Disadvantage of government intervention

- 15 The diagram shows the percentages of those on low pay and those on extremely low pay in a country from 1976 to 2012. A national minimum wage was introduced in 1999.



Can't comment about numbers

Which conclusion is consistent with the diagram?

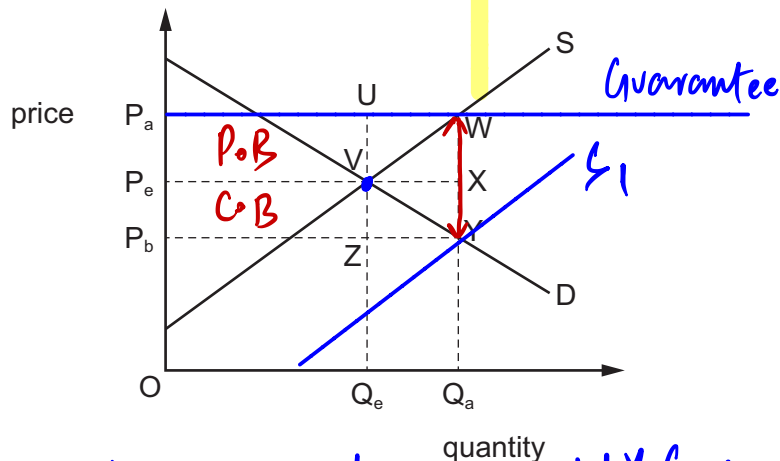
- A The minimum wage helped the low paid more than the extremely low paid.
 B The minimum wage reduced the numbers of both low paid and extremely low paid.
 C The minimum wage reversed the trend in low pay of the previous 20 years. 'see the gap'
 D The minimum wage was responsible for the largest reduction of low pay in the period.

Can't conclude in numbers
 Data is in %
 Data in %
 Pay not given, Data in %

- 16 The government has decided to guarantee manufacturers a price OP_a for a product and to provide a subsidy to ensure that the market clears.

In the diagram, Q_eP_e was the original equilibrium before the policy changes.

$P \cdot B + C \cdot B$:-
 Government cost



Vertical distance between 2 supply curve :- WY (per unit)
 Which area represents the total cost to the government of this subsidy?

- A P_aUZP_b B P_aWYP_b C P_eXYP_b D $VWYZ$

$\hookrightarrow C \cdot B + P \cdot B$ $\hookrightarrow C \cdot B$

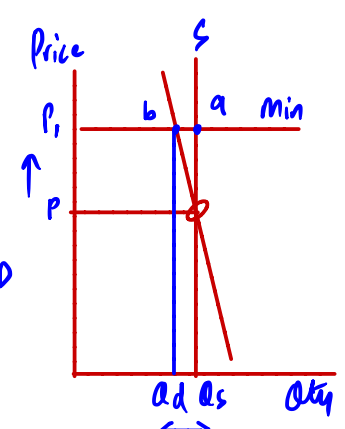
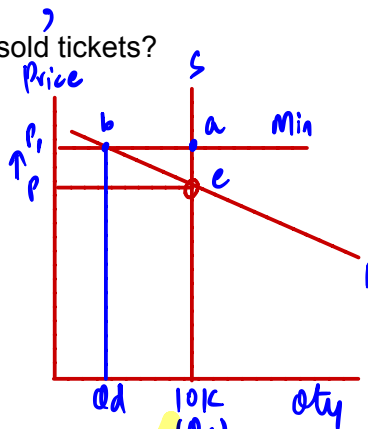
Higher the minimum price, greater the surplus
 Elastic (greater surplus)
 Q_d = fixed

8

- 17 A concert arena has a fixed capacity that allows it to sell 10 000 tickets for a concert. The current equilibrium price for a ticket is \$10. The owners of the arena decide to set a minimum price for a ticket.

Under which conditions will there be the most unsold tickets?

	minimum ticket price (\$)	price elasticity of demand for tickets
A	11	inelastic
B	11	elastic ✓
C	12 ✓	inelastic
D	12 ✓	elastic ✓



- 18 A government announces its intention to reduce the level of transfer payments in the economy.

Which statement made by the government is consistent with this intention?

- A There need to be more incentives for unemployed workers to seek jobs. *reduce dependency, accepting offers*
 B State pensions need to be increased.
 C The level of income tax needs to be raised. *(higher progressive tax, used for transfer payments)*
 D The level of government expenditure needs to be increased. *(leads to higher transfer payments)*

Pensions, e.g. of transfer payments

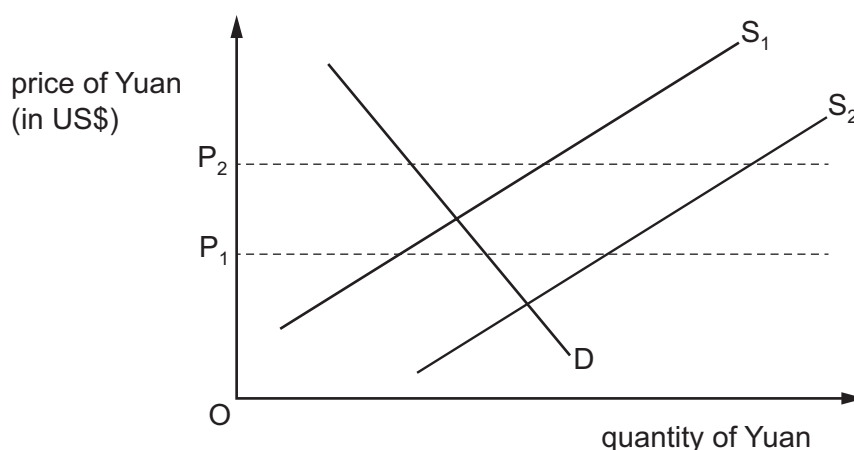
- 19 Assuming the demand for oil is price-inelastic, what will be the effect on demand-pull inflation and on cost-push inflation in an oil-importing country of an increase in the world price of oil?

	effect on demand-pull inflation	effect on cost-push inflation
A	increase	increase
B	increase	reduce
C	reduce	increase
D	reduce	reduce

cost ↑
 AS ↓ → price ↑
 cost push inflation C ↓
 AD ↓
 Demand pull reduce

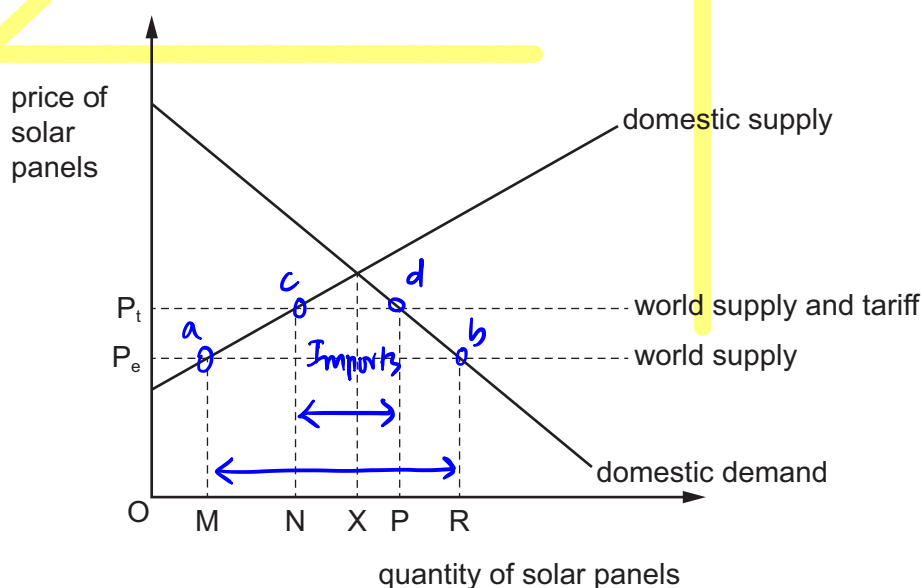
* Student might point out demand is inelastic, kindly note there is a difference between inelastic and perfectly inelastic demand.

- 20 Assume the Chinese monetary authorities are committed to maintaining the exchange rate of China's currency, the Yuan, against the US\$ between P_1 and P_2 on the diagram.



What might they do if supply changed from S_1 to S_2 ?

- ✓ **A** introduce controls on Chinese investment overseas *Investment abroad ↓, $S_{Yuan} ↓$*
B lower interest rates, *$S_{Yuan} ↑$, value ↓*
C remove tariffs on imports from USA *more imports, payments abroad, $S_{Yuan} ↑$*
D sell Yuan on the foreign exchange markets *sell Yuan, Supply Yuan ↑*
- 21 The diagram shows the demand and supply curves for solar panels in the US. In 2018, the US put a tariff on imported solar panels.



What is the quantity of imported solar panels after the imposition of the tariff?

- A** MN **B** MX ✓ **C** NP **D** XP

↳ change in
Qs (domestic)

↳ movement
in supply

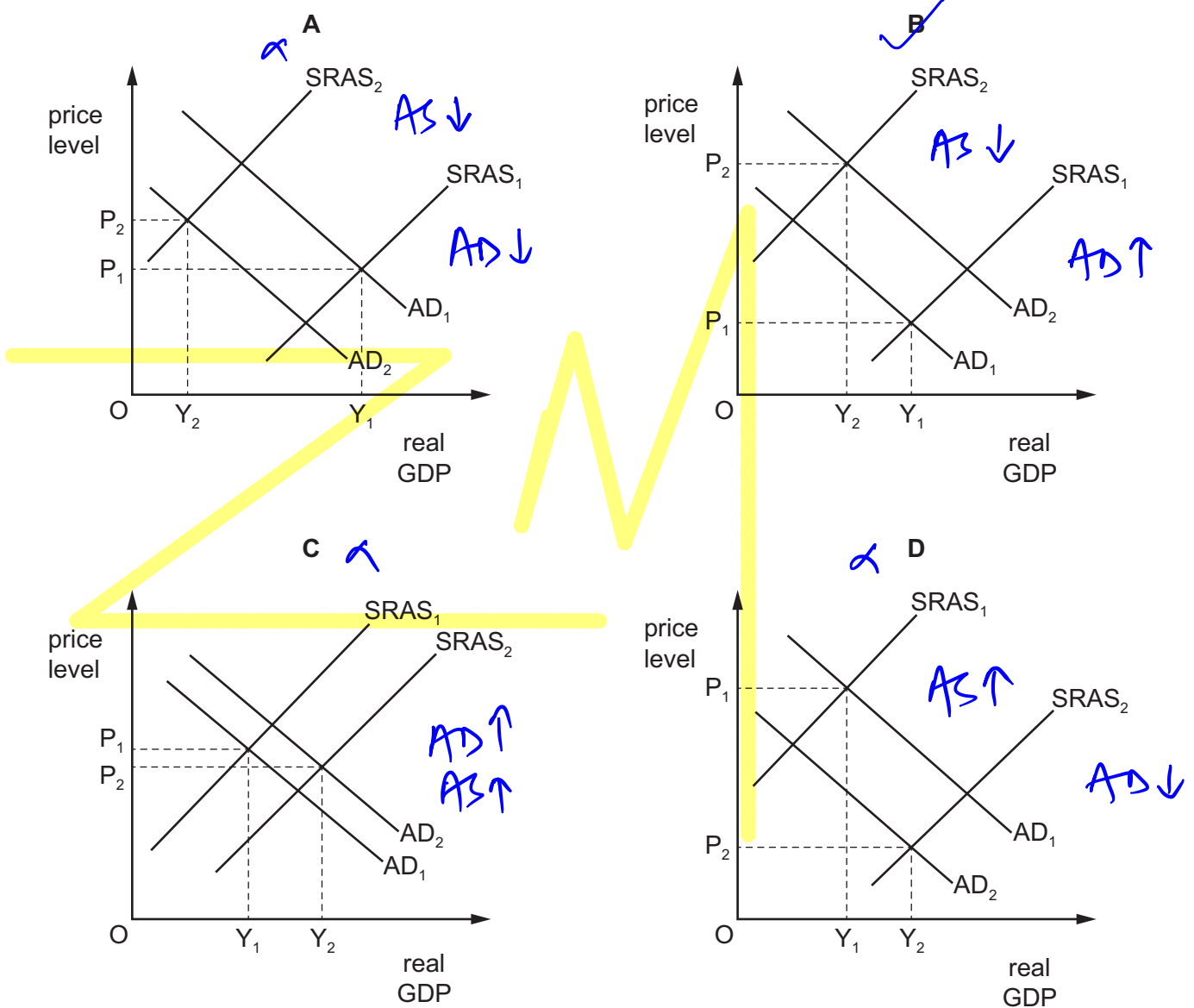
↳ movement
in demand

22 The diagrams show initial equilibrium positions at Y_1P_1 .

$AS \downarrow$

Which diagram reflects the impact on an economy of higher unit wage costs and an improvement in the balance of trade?

$AD \uparrow$



- 23 The table shows information from the current account of the balance of payments for Canada and Singapore in 2019.

	Canada (US\$ million)	Singapore (US\$ million)	
exports of goods	448 360	440 800	
imports of goods	(462 105)	(342 805)	+ 97 995
exports of services	100 350	204 810	
imports of services	(115 270)	(119 050)	+ 85 760
primary income balance	-3 475	-34 340	
secondary income balance	-2 060	-6 280	

What can be concluded from the table?

- Current account -34200 + 143135*
- No information about quantity, data shows revenue*
- A Canada exported more goods than Singapore.
- B Canada and Singapore had current account deficits. *No, Singapore in surplus*
- ✓ C Singapore had a surplus on its trade in goods and services. *Correct, see calculation*
- D Singapore imported cheaper goods than Canada. *No data available regarding prices.*

- 24 What is a measure of a country's terms of trade index?

- You should know the formula*
- ✓ A $\frac{\text{price index of exports}}{\text{price index of imports}} \times 100$
- B $\frac{\text{price index of imports}}{\text{price index of exports}} \times 100$ *✗*
- C $\frac{\text{total value of exports}}{\text{total value of imports}} \times 100$ *✗*
- D total value of exports – total value of imports *✗*

Appreciation

- 25 What is likely to cause an increase in the exchange rate of an economy?

- A an increase in demand-pull inflation, *inflation, $X_p \uparrow$, $M_p \downarrow$, value $\downarrow$, Depreciation*
- B an increase in national income, *$Y \uparrow$, spend $\uparrow$, $M(TE) \uparrow$, value $\downarrow$*
- C a decision of the central bank to raise money supply *$M \uparrow$, $R \downarrow$, value $\downarrow$*
- ✓ D a discovery of a natural resource that replaces imports *$M(TE) \downarrow$, $S_R \downarrow$, value $\uparrow$.*

Appreciation

26 What is likely to explain an increase in the deficit on a country's current account of the balance of payments?

- ✓ A an increase in government foreign aid to countries abroad *outflows ↑, deficit ↑*
 B an increase in government tax rates, *Tax ↑, Income ↓, spends ↓, imports ↓, outflows ↓*
 C an increase in other countries' exchange rates *our goods appear cheaper, inflows ↑*
 D an increase in the proportion of income saved by the country's residents *save ↑, spends ↓, M(TE) ↓, outflows ↓*
X + M PED > 1

27 What does the Marshall-Lerner condition state must be present for a depreciation of a currency to cause an improvement in the current account balance?

- Remember the word Sum!
 A The price elasticity of demand for exports and the price elasticity of demand for imports are both greater than one.
 B The price elasticity of demand for exports and the price elasticity of demand for imports are both less than one.
 ✓ C The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is greater than one. *Marshall-Lerner condition*
 D The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is less than one. *Reverse Marshall-Lerner condition.*

28 To encourage people to work, a government increases the minimum income level at which people start to pay income tax. *(fiscal policy)*

Which types of macroeconomic policy are being followed?

	fiscal policy	monetary policy	supply side policy
✓ A	✓	x	✓
B	x	✓	✓
C	✓	✓	✓
D	✓	✓	x

Monetary policy related to money supply, interest rate, exchange rate
Government intervention
↳ fiscal
↳ supply side

29 Raising interest rates is proposed to reduce a balance of payments deficit.

Which justification for this action is **not** valid?

- A It will attract more foreign currency inflows. *£ ↑, D£ ↑, FDI ↑, valid*
 B It will encourage exporters to find new foreign markets. *new markets, X(TE) ↑, deficit ↓*
 C It will lower the level of imported consumer goods. *lower imports, deficit ↓*
 ✓ D It will put downward pressure on the exchange rate.

↳ £ ↑, D£ ↑, £ ↓, Appreciate (can't put downward pressure as rise in interest rate will raise exchange rate)

30 Which combination of changes is most likely to result in a fall in a country's inflation rate?

	exchange rate	interest rate	money supply
A	lower	higher ✓	higher
B	higher ✓	higher ✓	lower ✓
C	higher ✓	lower	lower ✓
D	lower	lower	higher

ERT ↑
 Appreciation
 x p ↑ n p ↓
 Trade deficit
 AD ↓
 price ↓

R ↑
 C ↓ I ↓
 AD ↓
 price ↓

MS ↓
 Circulation ↓
 Spend ↓
 AD ↓
 price ↓

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